SHEIN

Built to last?

Ultra-fast fashion, and the mirror image of La Fageda.

Strategies for Sustainable Business

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Who is Shein?

BASE	**China-based company** Founded in China. Parent company Roadget Business Pte. Ltd. registered in Singapore since 2021. Most production in Guangzhou, Guangdong.
SELLS	**Apparel, footwear, accessories, beauty and home goods**
MODEL	**Marketplace for third-party sellers**
BRANDS	**Shein, Sheglam, Dazy and Romwe**

160

markets

WHAT SHEIN SAYS

MISSION

Making fashion accessible to all.

VALUES

- Customers first
- Celebrate diversity
- Drive results

≠

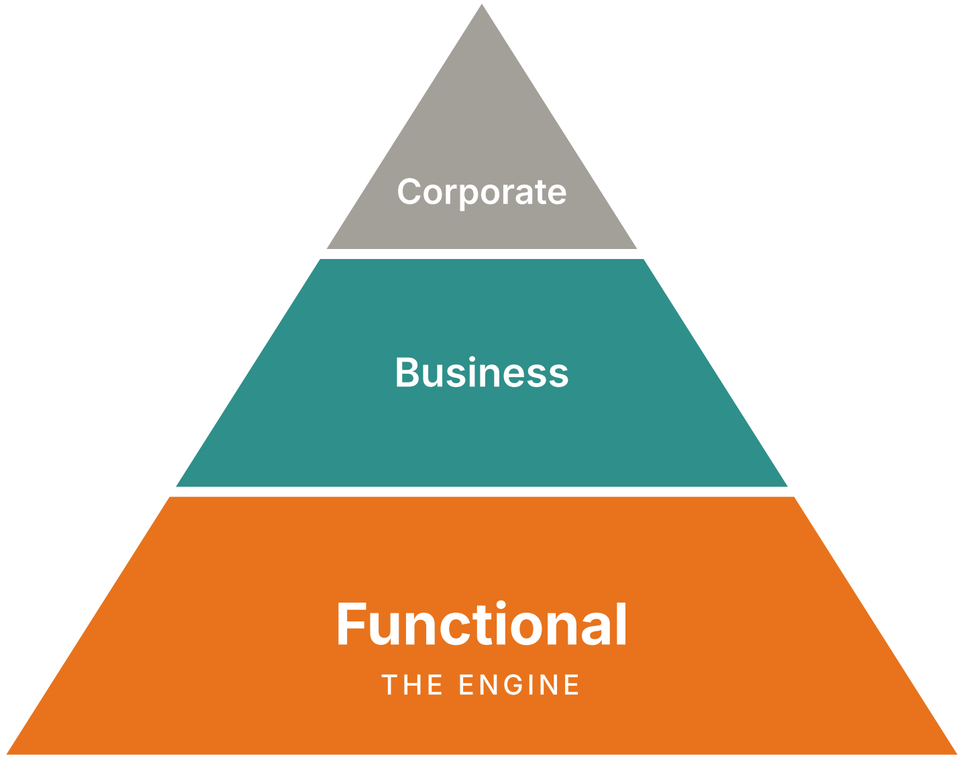
WHAT SHEIN FACES

CONTROVERSY

Consumer and environmental claims

Labor claims

Strategy: Levels at Shein



Corporate (business you should be in)

From fashion retailer to platform: marketplace for other sellers, Hong Kong IPO, M&A (Missguided, Everlane), market exit and re-entry (India)

Business (tactics to beat competition)

Lowest prices, thousands of new items a day, app-first branding for Gen Z and influencers

Functional (focus on effectiveness)

Small test batches of 100 to 200 pieces, own software linking demand to suppliers, reorder only what sells

The real engine is at the bottom of the pyramid.

Strategy: Concept clarification at Shein

01

Competitive advantage

Speed + price

02

Strategic positioning

Different activities from Zara or H&M: no factories, no stores, data decides what gets made

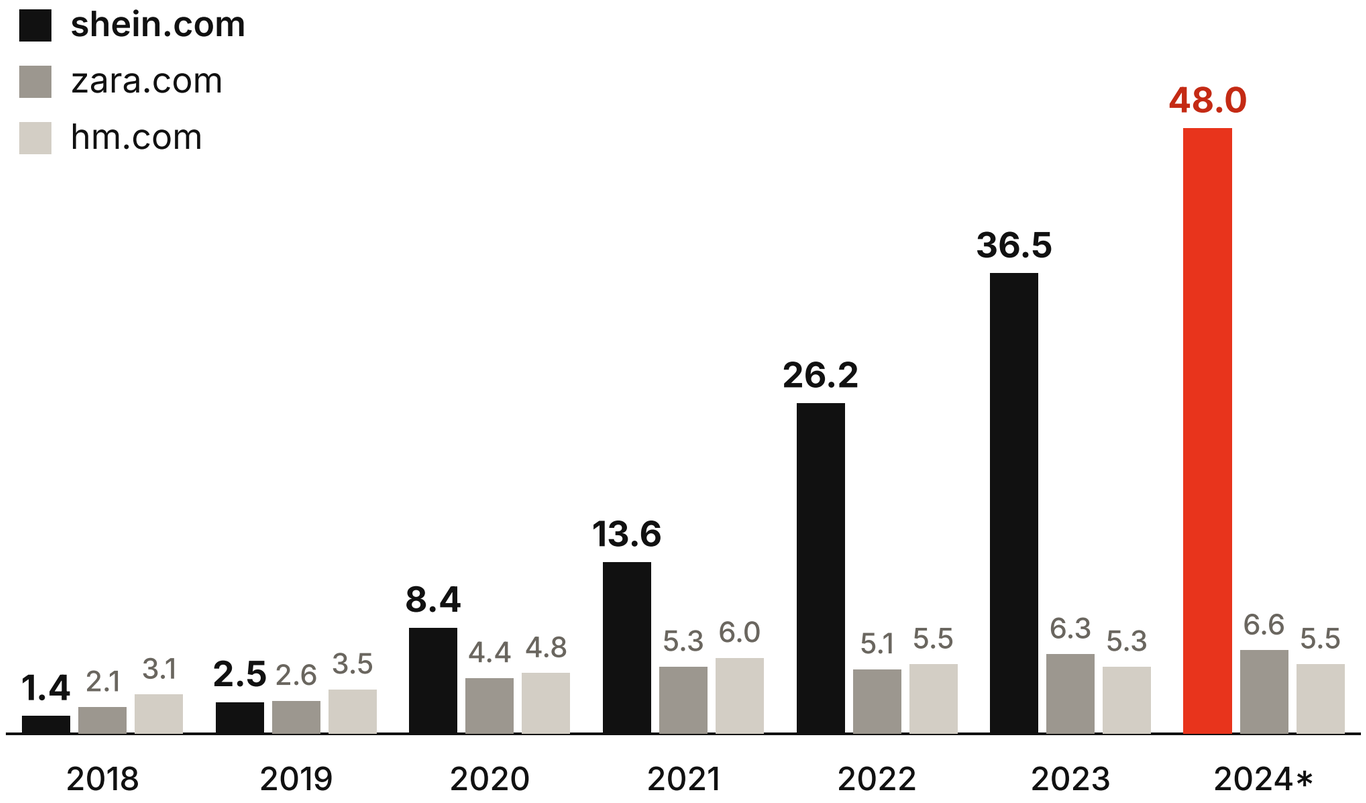
03

Operational effectiveness

Similar activities done faster and cheaper than rivals

Mostly operational effectiveness, *and that can be copied.*

Why did Shein grow so fast?



Source: Statista / ECDB, “Shein’s Meteoric Rise” (CC BY-ND). E-commerce net sales, US$ billion. *2024 forecast.

01 Real-time demand sensing

Small test batches, then scale only the winners

02 Agile supply chain

Responsive suppliers, fast restocking

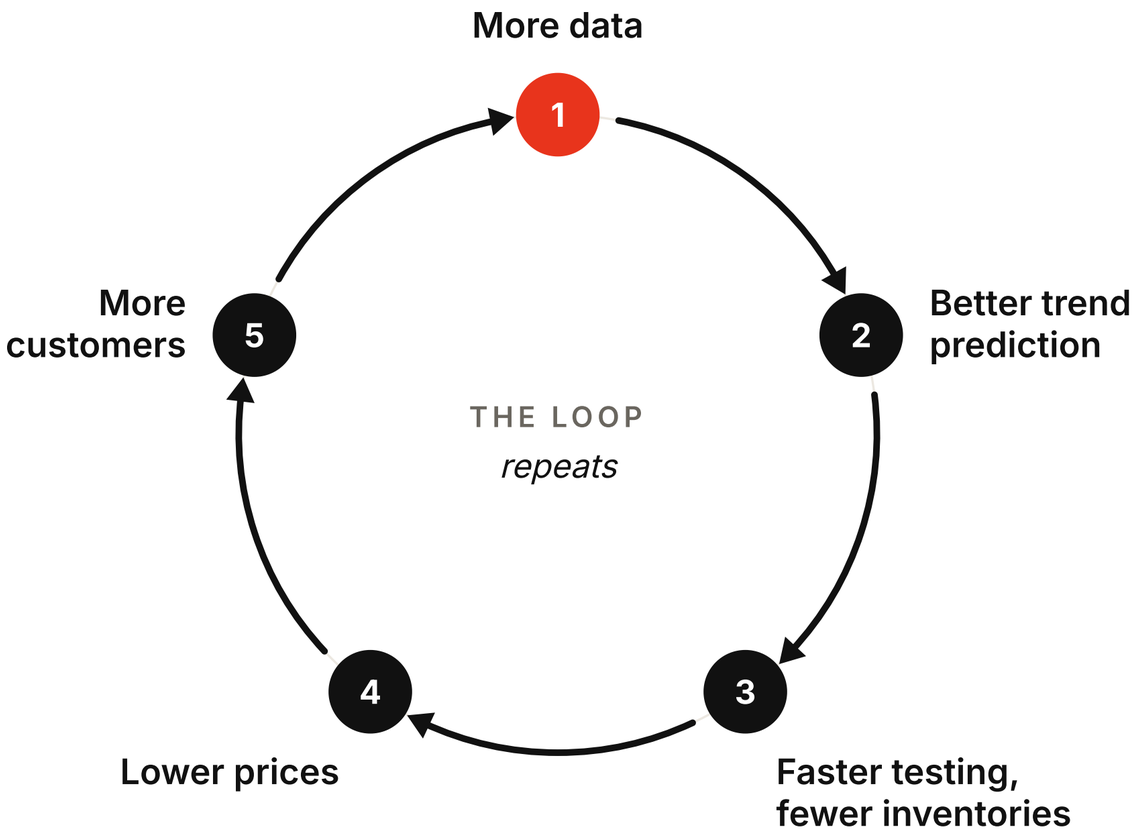
03 Digital-native customer acquisition

TikTok + influencers + “Shein hauls”

04 Price advantage

Online only, direct to consumer, more variety for less

The Shein Flywheel



Advantage ≠ speed

It was the feedback loop between data, supply & demand.

KEY MESSAGE

Operational effectiveness ≠ sustainable competitive advantage

Threats

Outside the company

01 New environmental regulations or disclosure requirements

02 Financial sanctions against “ultra fast fashion”

03 Repercussions for ESG violations

04 Intense competition in the market

7,667

complaints to the Better Business Bureau in the last 3 years

WEAKNESSES

- Extensive shipping times
- Poor customer service capabilities ← 7,667
- Disreputable brand image
- Inconsistency in product quality
- Encourages fast fashion and throwaway culture

Unethical labor practices

75 *hour work weeks*

Severe underpayment

Exposure to toxic chemicals and PFAs

Why it may last

01	Strong competitive advantage	Low prices, AI-assisted shopping, fast launches
02	Geographic expansion	India via Reliance Retail, Latin America, EU hubs
03	Business model diversification	Marketplace, supply-chain-as-a-service, Everlane
04	Adaptation to sustainability concerns	Reporting, circularity, ESG investment
05	Resilience despite scrutiny	Continued expansion, Hong Kong IPO

What could break it

- Tariffs
- Fines
- Labour concerns
- Environmental criticism
- Tighter ESG requirements

COULD

increase costs and undermine its *competitive advantage.*

CONCLUSION

Near term: likely to continue, supported by affordability, technology and international expansion.

However, its long-term success will depend on whether it can adapt to regulatory and sustainability pressures *while maintaining its low-price advantage.*

Thank you.

Speed can be copied.
Purpose is much harder to copy.

LA FAGEDA · PURPOSE-DRIVEN

Purpose decides what the business does.

SHEIN · EFFICIENCY-DRIVEN

Data decides what gets made.

APPENDIX

Sources

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